

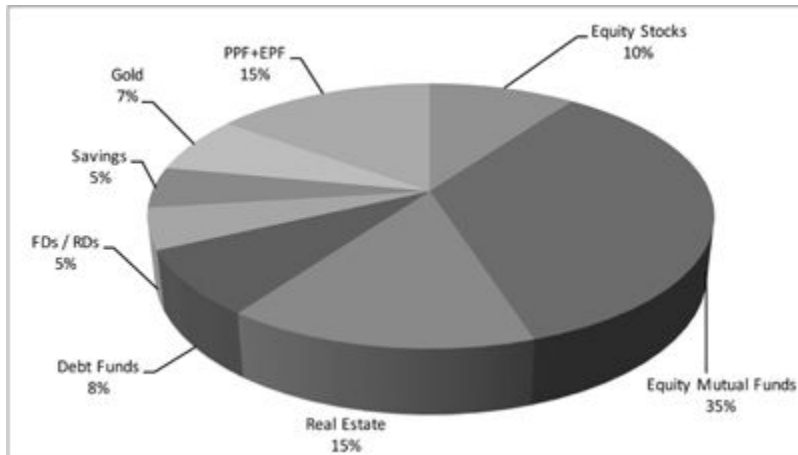


Fig 6.3 : Asset allocation for age group between 25 years to 40 years

Age between 40 to 60 years

This is the phase of your life where you slowly learn to wind things up in your professional life. You are looking for more stability in your investments. Your equity and real estate investments which were as high as 60% till now, will now be trimmed down considering the 100- Age thumb rule.

You still generate active money in many cases, but you are looking forward to a more regular stream of passive money coming in from your investments whether it is dividends from your stocks, rent from your real estate or interest from your bank account.

Your children are either settled or are in the process of settling down in their own lives. If you were already financially free before 40 years, then you are probably pursuing your passion and if you are not, your retirement is in front of you. With the ever increasing life expectancy and high medical inflation, there is an additional pressure on you to have enough corpus that can survive the remaining 30 odd years of your life. If you have never experienced financial freedom till now, you might also get jittery about the fact that you would not be earning any more active income. But if you have